

2013 (I)

16. Which one among the following is not a salient feature of the Companies Bill as amended in the year 2012?

- For spending the amount earmarked for corporate social responsibility, the company shall give preferences to local areas where it operates
- Punishment for falsely inducing a person to enter into an agreement with bank or financial institution with a view to obtaining credit facilities
- There is no limit in respect of companies in which a person may be appointed as auditor
- 'Independent directors' shall be excluded for the purpose of computing 'one-third of retiring directors'

17. Which of the following institution(s) was/were asked by the Government of India to provide official estimates of black (unaccounted) money held by Indians, both in India and abroad?

- National Institute of Public Finance and Policy.
- National Council of Applied Economic Research.
- National Institute of Financial Management.

Select the correct answer using the codes given below.

- Only 1
- 1 and 2
- 2 and 3
- All of these

18. The concept which tries to ascertain the actual deficit in the revenue account after adjusting for expenditure of capital nature is termed as

- revenue deficit
- effective revenue deficit
- fiscal deficit
- primary deficit

19. Which one among the following programmes has now been restructured as the National Rural Livelihood Mission?

- Swarna Jayanti Shahari Rozgar Yojana
- Swarna Jayanti Gram Swarozgar Yojana
- Janshree Bima Yojana
- Rashtriya Swasthya Bima Yojana

20. Which of the following are included in the category of direct tax in India?

- Corporation tax
- Tax on income
- Wealth tax
- Customs duty
- Excise duty

Select the correct answer using the codes given below.

- 1, 2 and 3
- 1, 2, 4 and 5
- 2 and 3
- 1, 3, 4 and 5

21. Which one among the following is a fixed cost to a manufacturing firm in the short run?

- Insurance on buildings
- Overtime payment to worker
- Cost of energy
- Cost of raw materials

22. The government can influence private sector expenditure by

- taxation
- subsidies
- macro-economic policies
- grants

Select the correct answer using the codes given below.

- 3 and 4
- 1, 2 and 4
- 1, 2 and 3
- All of these

23. Which of the following occupations are included under secondary sector as per the national income accounts?

- Manufacturing
- Construction
- Gas and water supply
- Mining and quarrying

Select the correct answer using the codes given below.

- 3 and 4
- 1, 2 and 4
- 1, 2 and 3
- All of these

24. The sharp depreciation of rupee in the Forex market in the year 2011 was due to

- flight to safety by foreign investors.
- meltdown in European markets.
- inflation in emerging market economies.
- lag effect of monetary policy tightening.

Select the correct answer using the codes given below.

- 1, 2 and 3
- 1, 2 and 4
- 3 and 4
- All of these

25. Human Poverty Index (HPI) developed by UNDP is based on which of the following deprivations?

- Income deprivation
- Literacy deprivation
- Social services deprivation
- Employment deprivation

Select the correct answer using the codes given below.

- 2 and 4
- 1, 2 and 3
- 1, 3 and 4
- All of these

2013 (II)

26. The Government of India and Reserve Bank of India have decided to introduce 1 billion pieces of ₹ 10 notes in polymer/plastic on a field trial basis.

Which of the following is/are the objectives behind this move?

- Increase of the lifetime of the notes.
- Combating counterfeiting.
- Reducing the cost of minting of currency.

Select the correct answer using the codes given below.

- 1 and 2
- Only 2
- Only 3
- All of these

27. Which bank is limited to the needs of agriculture and rural finance?

- SBI
- NABARD
- IFC
- RBI

28. The effect of a government surplus upon the equilibrium level of NNP (Net National Product) is substantially the same as

- an increase in investment
- an increase in consumption
- an increase in saving
- a decrease in saving

29. The value of money varies

- directly with the, interest rate
- directly with the price level
- directly with the volume of employment
- inversely with the price level

30. Corporation tax is imposed by

- State Government
- Central Government
- Local Government
- State as well as Central Government

31. Statement I The economy of India in the 19th century came to a state of ruin under English East India Company.

Statement II English East India Company's acquisition of Diwani right led to the miseries of the peasants and those associated with the traditional handicrafts industry of India.

Codes

- (a) Both the statements are individually true and Statement II is the correct explanation of Statement I
 (b) Both the statements are individually true, but Statement II is not the correct explanation of Statement I
 (c) Statement I is true, but Statement II is false
 (d) Statement I is false, but Statement II is true
- 32.** The production function of a firm will change whenever
 (a) input price changes
 (b) the firm employs more of any input
 (c) the firm increases its level of output
 (d) the relevant technology changes
- 33.** If the average total cost is declining then
 (a) the marginal cost must be less than the average total cost
 (b) total cost must be constant
 (c) the average fixed cost curve must be above the average variable cost curve
 (d) the marginal cost must be greater than the average total cost
- 34.** In a perfectly competitive economy production and consumption will both be pareto optimal, if the economy operates at a point where
 (a) there is general equilibrium
 (b) output levels are below equilibrium
 (c) output levels are above equilibrium
 (d) consumption is less than output
- 35.** The average fixed cost curve will always be
 (a) a rectangular hyperbola
 (b) a downward sloping convex to the origin curve
 (c) a downward sloping straight line
 (d) a U-shaped curve
- 36.** The income elasticity of demand for inferior goods is
 (a) less than one (b) less than zero
 (c) equal to one (d) greater than one
- 37.** Consider the following statement(s)
 1. The recent decision of Government of India to partially decontrol the sugar industry gives the millers the freedom to sell sugar in open market and removes their obligation to supply sugar at subsidised rates to ration shops.
 2. C Rangarajan panel also suggested decontrolling of sugar industry in India.

Which of the statement(s) given above is/are correct?

- (a) Only 1 (b) Only 2
 (c) Both 1 and 2 (d) Neither 1 nor 2
- 38.** The main functioning of the banking system is to
 (a) accept deposits and provide credit
 (b) accept deposits and subsidies
 (c) provide credit and subsidies
 (d) accept deposits, provide credit and subsidies
- 39.** In India, the price of petroleum products has been deregulated mainly to
 (a) reduce the burden of subsidies given to the oil companies
 (b) discourage the exploration of oil reserves in the country
 (c) discourage the demand for private vehicles
 (d) curb the use of black money in the economy
- 40.** Which of the following factors was not a reason behind the occurrence of the Industrial Revolution in England first?
 (a) No part of the country was far from the sea
 (b) Navigable rivers made inland transport easier
 (c) In England machines could be operated by wind or water power due to favourable climate condition
 (d) England had coal, iron and other necessary mineral resources

2014 (I)

- 41.** According to the Companies Act, 2013, 'nominal capital' implies
 (a) such part of capital, which has been called for payment
 (b) the maximum amount of share capital of a company
 (c) such part of capital, which has been received by a company from its shareholders
 (d) such capital as the company issues from time to time for subscription
- 42.** Which of the following is/are the objective(s) of 'Mahatma Gandhi Pravasi Suraksha Yojana'?
 To encourage and enable the overseas Indian workers by giving government contribution to
 1. save for their return and resettlement.
 2. save for their old age.
 3. obtain a life insurance cover against natural death for the entire life of the worker.

Select the correct answer using the codes given below.

- (a) 2 and 3 (b) 1 and 2
 (c) Only 1 (d) All of these
- 43.** 'Inclusive growth' is a phrase used in India's
 1. 9th Plan 2. 10th Plan
 3. 11th Plan 4. 12th Plan
Select the correct answer using the codes given below:
 (a) 1, 2 and 3 (b) 2 and 4
 (c) 3 and 4 (d) Only 4
- 44.** Corporation tax in India is levied on income of a company. Which one of the following does not include Corporation tax?
 (a) Profit from business
 (b) Capital gain
 (c) Interest on securities
 (d) Sale proceed of assets
- 45.** In India, contribution of food inflation to overall inflation is around $\frac{1}{3}$ rd to $\frac{2}{5}$ th. Within food inflation, contribution of food articles is higher because price rise in food articles is
 (a) higher and their weight is also higher compared to food products
 (b) higher but their weight is lower compared to food products
 (c) lower but their weight is higher compared to food products
 (d) lower and their weight is also lower compared to food products
- 46.** In India, mergers and acquisition of firms are regulated by
 (a) National Manufacturing Competitiveness Council
 (b) Competition Commission of India
 (c) Security and Exchange Board of India
 (d) Department of Industrial Policy and Promotion
- 47.** Which of the following statements about India's unorganised sector are true?
 1. Labour is more in number than that in the organised sector.
 2. Job security and work regulation are better in unorganised sector.
 3. They are usually not organised into trade unions.
 4. Workers are usually employed for a limited number of days.

Select the correct answer using the codes given below.

- (a) 1, 2 and 4 (b) 1, 3 and 4
 (c) 3 and 4 (d) 1 and 3

- 48.** Classification of an enterprise into public or private sector is based on
- number of employees in the enterprise
 - ownership of assets of the enterprise
 - employment conditions for workers in the enterprise
 - nature of products manufactured by the enterprise
- 49.** Share of food in total consumption expenditure has been coming down as Per Capita Income grew over time in last sixty years because
- people have been purchasing less food
 - people have been preferring non-cereal items in their food basket
 - growth in food expenditure has been lower than growth in per capita income
 - percentage of the poor in population has increased over time

2014 (II)

- 50.** Consider the following statements relating to the World Trade Organisation (WTO)
- The WTO deals with the global rules of trade between nations.
 - The goal of the WTO is to help producers of goods and services, exporters and importers conduct their business.
 - The WTO, which is a successor body of the General Agreement on Tariffs and Trade, came into being following the Uruguay Round of Negotiations.
 - The WTO distances itself in framing of rules on trade in intellectual property rights.
- Which of the statements given above are correct?*
- 1, 2 and 3
 - 2, 3 and 4
 - 1, 2 and 4
 - 1 and 3
- 51.** Consider the following statements relating to the World Bank
- The World Bank was established in 1946, which is headquartered in New York.
 - The World Bank Group has set for itself the goal to end extreme poverty from the world by 2030.

- The World Bank is a vital source of financial and technical assistance to developing countries around the world. It is not a bank in the ordinary sense but a unique partnership to reduce poverty and support development.
- The World Bank Group comprises five institutions managed by their member countries in order to promote shared prosperity by fostering the income growth of the bottom 40% for every country.

Which of the statements given above are correct?

- 1, 2 and 3
- 2, 3 and 4
- 1, 3 and 4
- 2 and 4

- 52.** Which of the following statements about International Monetary Fund (IMF) are correct?

- The IMF is a United Nations specialised agency.
- The IMF was founded at the Bretton Woods Conference in 1944 to secure international monetary cooperation.
- The objective of the IMF is to stabilise currency exchange rates and to expand international liquidity (access to hard currencies).

Select the correct answer using the codes given below.

- 1 and 3
- 2 and 3
- 1 and 2
- All of these

- 53.** Union Government in June, 2014 granted *Navaratna* status to

- Engineers India Limited
- Coal India Limited
- India Trade Promotion Organisation
- National Buildings Construction Corporation Limited

Select the correct answer using the codes given below.

- 1, 2 and 3
- 2 and 3
- 1 and 4
- All of these

- 54.** World Bank in June, 2014 released a study report on India's Power Sector titled 'More Power to India : The Challenge of Electricity Distribution'. Which of the following is/are the key recommendation(s) of the report?

- Ensure regulatory autonomy, effectiveness and accountability for utilities and regulators.

- Insulate utilities from State Governments to prevent interference with internal operations.
- Scrap the Electricity Act, 2003 in order to improve the revenue generation of the power distribution companies.

Select the correct answer using the codes given below.

- 1 and 3
- 1 and 2
- Only 2
- All of these

- 55.** Which of the following is not the recommendation of the Arvind Mayaram Committee on rationalising the FDI/FPI definition (June, 2014)?

- Foreign investment of 10% or more in a listed company will be treated as Foreign Direct Investment (FDI).
- In a particular company, an investor can hold the investments either under the Foreign Portfolio Investment (FPI) route or under the FDI route, but not both.
- Any investment by way of equity shares, compulsorily convertible preference shares/debentures which is less than 10% of the post-issue paid up equity capital of a company shall be treated as FPI.
- On NRI Investors, the Committee recommended treating non-repatriable investment as FDI.

- 56.** Which one among the following pairs is not correctly matched?

- When total product increases at an increasing rate : Marginal product increases
- When total product increases at a diminishing rate : Marginal product declines
- When total product reaches its maximum : Marginal product becomes zero
- When total product begins to decline : Marginal product becomes positive

- 57.** The way total output changes due to change in all inputs in same proportion is known as law of

- returns to scale
- diminishing returns
- increasing returns
- constant returns

- 58.** Which of the following statements are correct?

- When marginal revenue is positive, total revenue increases with increase in output.
- When marginal revenue is zero, total revenue is maximum.
- When marginal revenue becomes negative, total revenue falls with increase in output.

Select the correct answer using the codes given below.

- (a) 1 and 2 (b) 2 and 3
(c) 1 and 3 (d) 1, 2 and 3

59. Which of the following statement(s) is/are true?

1. If increase in demand and supply are of equal magnitude, the price will remain unchanged, but the equilibrium quantity will increase.
2. If increase in demand is of greater magnitude than increase in supply, both equilibrium price and equilibrium quantity will increase.
3. If increase in supply is of greater magnitude than increase in demand, equilibrium price will fall but equilibrium quantity will increase.

Select the correct answer using the codes given below.

- (a) Only 1 (b) 1 and 2
(c) 2 and 3 (d) 1, 2 and 3

60. A market in which there are large numbers of sellers of a particular product, but each seller sells somewhat differentiated but close products is termed as

- (a) perfect competition
(b) monopoly
(c) monopolistic competition
(d) oligopoly

61. The value of all final goods and services produced by the normal residents of a country and their property, whether operating within the domestic territory of the country or outside in an year is termed as

- (a) Gross National Income
(b) Net National Income
(c) Gross Domestic Product
(d) Net Domestic Product

62. National product at factor cost is equal to

- (a) Domestic product + Net factor income from abroad
(b) National product at market prices – Indirect taxes + Subsidies
(c) Gross domestic product – Depreciation
(d) National product at market prices + Indirect taxes + Subsidies

63. Which of the following theories form the basis of international trade?

1. Absolute cost difference
2. Comparative cost difference
3. Opportunity cost

Select the correct answer using the codes given below.

- (a) Only 1 (b) Only 2
(c) 1 and 2 (d) All of these

64. Which one among the following is not a source of tax revenue for the Central Government in India?

- (a) Income tax (b) Customs duties
(c) Service tax (d) Motor vehicle tax

65. Which of the following does not form part of current account of Balance of Payments?

- (a) Export and import of goods
(b) Export and import of services
(c) Income receipts and payments
(d) Capital receipts and payments

66. Consider the following statement(s)

1. Government of India has upgraded the National Industrial Classification from NIC-1987 to NIC-2008.
2. NIC is an essential statistical standard for developing and maintaining comparable database according to economic activities.

Which of the statement(s) given above is/are correct?

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

67. Under the forceful thrust of British rule, a rapid transformation of the Indian economy took place. In this context, which of the following statement(s) is/are correct?

1. Indian economy was transformed into a colonial economy in the 19th century whose structure was determined by Britain's fast developing industrial economy.
2. The influx of cheap Indian products into England gave a great blow to English textile industries.
3. The 19th century saw the collapse of the traditional Indian village economy and fresh economic alignment along commercial lines.

Select the correct answer using the codes given below.

- (a) 1 and 3 (b) Only 1
(c) Only 2 (d) 1 and 2

68. In May, 2014, an agreement for credit of \$ 24 million (equivalent) from World Bank for additional financing for Uttarakhand Rural Water Supply and Sanitation Project was signed. The objective/objectives of the agreement was/were

1. to improve the effectiveness of Rural Water Supply and Sanitation (RWSS) services through decentralisation.
2. to restore services of damaged schemes in the disaster affected areas in the State of Uttarakhand.

Select the correct answer using the codes given below.

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

69. Consider the following statements relating to the Non-Alignment Movement

1. The Non-Aligned Movement (NAM) was created and founded during the collapse of the colonial system and the independence struggles of the people of Africa, Asia, Latin America and other regions of the world and at the height of the Cold War.
2. The First Summit of the Movement of Non-Aligned countries was convened by the leaders of India, Indonesia, Egypt, Syria and Yugoslavia at Belgrade on 1st to 6th September, 1961.
3. During the early days of the Movement, its actions were a key factor in the decolonisation process, which led later to the attainment of freedom by many countries and to the founding of several new sovereign States.
4. The fundamental principle of the movement is to maintain equal distance from both the super powers by joining the military alliances of both the blocs.

Which of the statements given above are correct?

- (a) 1, 2 and 3 (b) 2 and 3
(c) 1, 3 and 4 (d) 1 and 2

70. Which of the following is not correct regarding the 2014 FIFA Football World Cup?

- (a) 'We Are One' is the official song
(b) 'Dar um, Jeito' (We Will Find A Way) is the official anthem
(c) Brazil is the first country to host a World Cup for the second time
(d) For the first time two consecutive World Cups are not hosted in Europe

71. Which of the following statement(s) about Marrakesh Treaty is/are correct?

1. The main goal of the treaty is to create a set of mandatory limitations and exceptions for the benefits of the blind and visually impaired.
2. India has ratified the treaty.
3. The treaty has come into force from July, 2014.

Select the correct answer using the codes given below.

- (a) Only 1 (b) 1 and 2
(c) Only 2 (d) All of these

72. Consider the following statements about SAARC

1. The SAARC Secretariat is located at Kathmandu.
2. The Secretariat is headed by the Secretary General, who is appointed by the Council of Ministers from Member States in alphabetical order for a three year term.
3. The Secretary General is assisted by eight Directors on deputation from the Member States.

Select the correct answer using the codes given below.

- (a) Only 1 (b) 2 and 3
(c) All of these (d) 1 and 3

73. Match the following

List I (Training Institutes)	List II (Locations)
A. National Academy of Direct Taxes	1. Hyderabad
B. Rafi Ahmed Kidwai National Postal Academy	2. Nagpur
C. Sardar Vallabhbhai Patel National Police Academy	3. Dehradun
D. Indira Gandhi National Forest Academy	4. Ghaziabad

Codes

- | | |
|-------------|-------------|
| A B C D | A B C D |
| (a) 2 4 1 3 | (b) 2 1 4 3 |
| (c) 3 4 1 2 | (d) 3 1 4 2 |

74. Consider the following statement(s) on SAFTA

1. SAFTA is a trade liberalisation programme among the South-Eastern countries of Asia.
2. According to SAFTA, the Ministerial Council shall meet at least once every year or more often as and when considered necessary by the Contracting States.

Select the correct answer using the codes given below.

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

75. Consider the following statement(s) on Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation (BIMSTEC)

1. BIMSTEC has seven members Bangladesh, Bhutan, India, Myanmar, Nepal, Sri Lanka and Thailand.
2. BIMSTEC provides a link between South Asia and South-East Asia by way of economic cooperation and linkages in identified areas of cooperation.
3. BIMSTEC was rechristened as BISTEC in the year 2014.

Select the correct answer using the codes given below.

- (a) Only 1 (b) Only 2
(c) 1 and 2 (d) All of these

2015 (I)

76. When two goods are completely inter-changeable, they are

- (a) perfect substitutes
(b) perfect complements
(c) Giffen goods
(d) Veblen goods

77. Match the following

List I (Industries)	List II (Locations)
A. Railway equipment	1. Kochi
B. Automobile	2. Ludhiana
C. Ship-building	3. Bhilai
D. Bicycle	4. Jabalpur

Codes

- | | |
|-------------|-------------|
| A B C D | A B C D |
| (a) 3 4 1 2 | (b) 3 1 4 2 |
| (c) 2 1 4 3 | (d) 2 4 1 3 |

78. Consider the following statement(s) with regard to the First Renewable Energy Global Investors Meet and Expo (2015)

1. This is a follow-up to the 'Make in India' initiative.
2. The central theme of the meet is to attract large scale investments in the renewable energy sector in India.

Which of the statement(s) given above is/are correct?

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

79. Rise in the price of a commodity means

- (a) rise in the value of currency only
(b) fall in the value of currency only
(c) rise in the value of commodity only
(d) fall in the value of currency and rise in the value of commodity

80. Which of the following statement(s) with regard to the proposed Asian Infrastructure Investment Bank is/are correct?

1. India is one of the founding members of the bank.
2. The bank is to be headquartered in Shanghai.

Select the correct answer using the codes given below.

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

81. Which of the following statements is/are true with regard to the newly launched Vanbandhu Kalyan Yojana?

1. Under the scheme, Centre will provide ₹ 10 crore each for every State and Union Territory of the country for the development of various facilities for the tribals.
2. The scheme mainly focuses on bridging infrastructural gaps and gap in human development indices between Schedules Tribes and other Social Groups.

Select the correct answer using the codes given below.

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

82. Which of the following statements is not true?

- (a) The General Agreement on Tariffs and Trade (GATT) had regulated global trade since, 1947
(b) GATT was replaced by the World Trade Organisation (WTO) in 1995
(c) The Most Favoured Nation principle under GATT provided that preferential trading agreements reached with one country should be extended to other countries
(d) The WTO has been able to cover in an agreements the agriculture and textile sectors which are the principal concerned for the Least Developed Countries (LDCs)

83. Which of the following is not a part of contemporary Indian foreign policy in relationships with its neighbours?

- (a) Look East Policy for linking up with South-East Asia via Myanmar
(b) Panchsheel
(c) Non-alignment
(d) SAARC